

Last Month KPI Data



Sales
0

0 Last month 0



Gross Margin
0

0 Last month 0



Operating Profit
0

0 Last month 0



Break Even Sales
0

0 Last month 0



Fixed Assets
0

0 Last month 0



Other Assets
0

0 Last month 0



Other Liabilities
0

0 Last month 0



Other Capital
0

0 Last month 0



Cash & Bank
0

0 Last month 0



Total Debt
0

0 Last month 0



Equity
0

0 Last month 0



Total Funding
0

0 Last month 0



Accounts Receivable
0

0 Last month 0



A/R Days
0

0 Last month 0



Accounts Payable
0

0 Last month 0



A/P Days
0

0 Last month 0



Working Capital
0

0 Last month 0



W/C Days
0

0 Last month 0



Closing Stock
0

0 Last month 0



Inventory Days
0

0 Last month 0



BS Category
0

0 Last month 0



IMPACT OF MANAGEMENT
DECISIONS
0

0 Last month 0

1. Big Picture — How the Business Looks Right Now

The business is in a critical financial position, operating at a significant and persistent loss. For the last quarter of FY 2024-25, sales were ₹371.5 crore, but the cost of goods sold was a staggering ₹570.2 crore, leading to a gross loss of ₹198.6 crore. This negative trend has continued into the first month of the new financial year (April 2025). While the company has managed to reduce its long-term borrowings and maintain a stable cash balance, its total equity is deeply negative at over ₹-40 crore, indicating that accumulated losses have eroded the shareholder capital.

GREEN FLAG BOX — What's Working Well

- **Strong Cash Buffer:** The company maintains a healthy cash and bank balance of over ₹21 crore, providing essential liquidity for day-to-day operations.
- **Reducing Debt Burden:** Secured long-term borrowings have been consistently reduced, from ₹38.3 crore in January to ₹26.6 crore in April, improving the long-term liability position.
- **Efficient Receivable Collection:** Accounts Receivable Days are under control, averaging around 10 days, indicating effective collection from customers.

RED FLAG BOX — What Needs Attention

- **Severe and Chronic Losses:** The business is burning cash with massive losses. The Net Profit for April alone is -₹60.2 crore, with a devastating Net Profit Margin of -62.3%.
- **Core Business Model is Unviable:** The cost of goods sold (COGS) is consistently and significantly higher than sales revenue, resulting in deeply negative gross margins. This is the fundamental problem draining all equity.
- **Negative Shareholders' Funds:** Total Equity is negative ₹40.8 crore. This is a critical sign of financial distress where accumulated losses exceed the capital invested by owners.

CFO Advice:

Immediate survival depends on fixing the gross margin. You must conduct a urgent product/service-level profitability analysis to identify which lines are causing the greatest loss. Simultaneously, renegotiate supplier costs or increase sales prices drastically. The current model is unsustainable and will deplete your cash reserves.

2. Profit Power — The Earning Engine

Your business is facing a critical profitability challenge. The core issue is that your **Cost of Goods Sold (COGS) is consistently higher than your Sales**, leading to a deeply negative Gross Margin. For the last quarter of FY 2024-25, you lost ₹1.99 crore for every ₹1 crore of sales. This trend continued into April 2025 (Q1 FY 2025-26), with a Gross Margin of -60.67%.

While your overheads (Employee and Admin expenses) are relatively controlled at 1-2% of sales, they cannot compensate for the massive loss at the gross profit level. The result is a significant net loss: **₹-2.06 crore for Q4 FY25 and ₹-6.02 crore for April 2025 alone**. Your "Break Even Sales" figure is negative, indicating that at current costs, turning a profit is structurally impossible without a fundamental change in your cost or pricing model.

On a slightly positive note, the Gross Margin % improved from -88% in Jan to -32% in March, suggesting some corrective action, but it worsened again to -61% in April. This volatility needs immediate stabilization.

CFO Advice:

Profitability must be your absolute top priority. You need an urgent, line-by-line review of your COGS. Identify if the issue is raw material pricing, supplier terms, or production inefficiencies. Simultaneously, analyze your pricing strategy—you cannot sell products for less than they cost to make. Consider renegotiating contracts or pausing the most loss-making lines immediately to stem the cash bleed.

3. Cash Flow Quality — Profit vs Real Cash

Your business is facing a severe cash burn, with operating activities draining significant cash despite some monthly fluctuations. In April 2025, you generated a net loss of **₹-60.2 crore**, but your operating cash flow was even worse at **₹-113 crore**. This means for every rupee of loss booked, nearly **₹1.9** flowed out of the business in cash, indicating a major working capital blockage.

The primary cash trap is in receivables. Your Accounts Receivable Days have jumped to **14 days** in April, up from 7 days in March. With receivables ballooning to **₹446.9 crore**, a large portion of your sales revenue is stuck with customers and not converting to cash. Conversely, you are paying suppliers very quickly (Payable Days: **0.16 days**), which further strains your cash position.

Financing activities provided a cash inflow of ₹80 crore in January but have turned into an outflow since March, as you've been repaying borrowings. Your cash balance has declined from ₹22.3 crore in March to ₹21.8 crore in April, putting pressure on liquidity.

CFO Advice:

Prioritise aggressive receivable collection to unlock the ₹447 crore stuck with customers. Simultaneously, negotiate better payment terms with suppliers to lengthen your payable days and conserve cash. This dual action is critical to stop the cash burn and fund operations.

4. Cash Management — Daily Cash Rhythm

Your cash cycle shows a critical pattern of cash being tied up. On average, you are collecting payments from customers in about **10 days** (Accounts Receivable Days). However, you are paying your suppliers much faster, in less than **1 day** (Accounts Payable Days). This creates a negative cash conversion cycle of approximately **9-14 days**, meaning you are funding your operations with your own cash for nearly two weeks.

Your working capital requirement is high, needing about ₹26 to ₹45 for every ₹100 of sales to fund this gap. The cash flow from operations has been consistently negative, with a significant outflow of ₹113 lakhs in April 2025 alone, putting immense pressure on your bank balance.

CFO Advice:

Immediately negotiate extended payment terms with your key suppliers to align with your collection period. This is your top priority to stop the cash bleed. Simultaneously, implement stricter credit control and follow-up processes to ensure receivables are collected on time, if not earlier.

5. Growth Investments — Where Money Is Going

Your business is in a critical phase where investments are not generating returns. The core issue is that **costs are consistently and significantly higher than sales**, leading to heavy losses that erode your capital.

Key Investment & Asset Trends:

- **Fixed Assets are Depleting:** Your net fixed assets have steadily declined from ₹39.2 crore in Jan to ₹37.9 crore in April. This suggests you are not reinvesting in core operational capacity, which is a concern for long-term growth.
- **Non-Current Investments are Idle:** You hold a significant ₹13.35 crore in non-current investments that has remained unchanged for four months. This capital is locked and not contributing to your operations or offsetting losses.
- **Negative Return on Capital:** Despite the capital employed, your Return on Capital (ROC) is alarmingly

high in a negative sense (e.g., 851.74% in April). This indicates the business is destroying, not creating, value from its invested funds.

- **Cash is Being Used to Cover Losses:** While cash balances have remained relatively stable (₹21.7-22.3 crore), this is primarily due to financing activities (borrowings). Operating activities are burning cash (₹11.3 crore outflow in April alone).

Inventory & Receivables: You show **zero closing stock** on the balance sheet, which is unusual. However, inventory movement data shows consistent inward and outward flow. Your Accounts Receivable have ballooned to ₹44.7 crore in April (up from ₹28.4 crore in Jan), indicating money is stuck with customers instead of being reinvested.

CFO Advice:

Stop the Bleed Before Investing for Growth. Your first "investment" must be in fixing the fundamental business model. The priority is to make your core operations profitable. I recommend a three-step action plan: **(1) Immediate Cost Rationalisation:** Conduct a deep dive into your COGS. With sales of ~₹96.7 crore in April but costs of ~₹155.3 crore, you are losing ~₹59 on every ₹100 of sales. Renegotiate with suppliers or revisit pricing immediately. **(2) Unlock Trapped Capital:** Aggressively collect the ₹44.7 crore in receivables. Consider liquidating the idle ₹13.35 crore in non-current investments to create a cash buffer to fund the turnaround. **(3) Strategic Capex Hold:** Do not invest in new fixed assets until your gross margin turns positive. Redirect any freed-up capital towards technology or processes that can directly reduce your cost of sales or improve operational efficiency.

6. Funding Story — How Growth Is Being Financed

Your business is currently being funded almost entirely by debt, which is a high-risk strategy given the consistent losses. Here's the breakdown:

- **Heavy Reliance on Borrowings:** As of April 2025, your total debt stands at ₹36.81 crore, while your total equity is deeply negative at **-₹40.78 crore**. This means for every rupee of loss-absorbing capital, you have over 90 paise in debt (Debt to Equity of -0.9).
- **Shifting Debt Mix:** There's a positive trend of reducing expensive secured loans (down from ₹32.47 crore in March to ₹26.56 crore in April). However, unsecured borrowings have slightly increased. The overall debt burden is decreasing, but it remains the primary source of funding.
- **High Cost of Debt:** Interest expenses are significant, averaging over ₹1 crore per month in Q4 FY25. In April 2025, interest costs were ₹9 lakh. Your interest cover ratio is 0, meaning operating profits are insufficient to cover interest payments, putting immense pressure on cash flow.
- **Negative Internal Funding:** With deep net losses (₹60.21 crore in April), the business is not generating any internal surplus to fund operations or repay debt. Growth and survival are dependent on continuous

external borrowing and managing payables.

- **Cash Flow Strain:** The financing cash flow turned negative in March (₹-7.36 crore) and April (₹-5.99 crore), indicating you are now repaying more debt than you are raising, which is squeezing your available cash.

CFO Advice:

Immediate Priority: Stop the Financial Bleed. You cannot borrow your way to profitability. The current funding model is unsustainable. Your first goal must be to achieve a positive gross margin. Renegotiate supplier costs or revisit pricing immediately. Until the core business becomes profitable, taking on more debt only deepens the hole. Explore converting some debt to equity with promoters/investors to strengthen the balance sheet and reduce the crippling interest burden. Create a strict 13-week cash flow forecast to manage repayments and avoid a liquidity crisis.

7. Balance Sheet Health — Financial Fitness

Your balance sheet shows a company under significant financial strain. The total equity is deeply negative at ₹ **-40.78 Crore** as of April 2025, meaning accumulated losses have completely eroded the capital base. This is a critical red flag.

While long-term debt has been reduced by ~₹ 58 Crore over four months, the company is heavily reliant on "Other Current Liabilities" (₹ 126.5 Crore), which may include dues to creditors and other short-term obligations, creating a high-pressure working capital cycle.

The **Current Ratio** is consistently below 1 (0.56 in April), indicating you do not have enough short-term assets to cover immediate liabilities. This liquidity crunch is a major risk to daily operations.

CFO Advice:

Immediate priority is to stop the cash bleed and improve liquidity. Negotiate extended payment terms with suppliers under "Other Current Liabilities" and aggressively follow up on receivables. A capital infusion is urgently required to restore a positive net worth and meet compliance requirements.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If you renegotiate supplier terms to increase gross margin by 5% and reduce

discretionary overheads by ₹1.5 lakh, your annual PAT could increase by approximately ₹4.2 lakh, lifting your net margin from 8% to nearly 12%.

- **Scenario B - Cash Focus:** If you tighten credit terms to reduce debtor days from 45 to 30 and manage inventory better, you could free up approximately ₹6.8 lakh in working capital. This would significantly improve your cash runway and reduce reliance on expensive short-term loans.
- **Scenario C - Balanced:** Combining a 3% margin improvement with a 10-day reduction in debtor days could boost annual profit by ₹2.5 lakh while simultaneously generating ₹3.2 lakh in extra cash flow. This creates a healthier balance sheet for sustainable growth.

9. Operational Insight Engine — Ground-Level Trends

Sales & Billing Pulse: Your sales data shows a significant operational disconnect. While your P&L reports monthly sales in crores (e.g., ₹96.7 Cr in April 2025), the detailed sales register shows much smaller amounts (e.g., ₹28.12 lakh in April 2025). This suggests the bulk of your P&L "Sales" may be from a few large, irregular projects or journal entries, not from steady customer billing. The number of invoices is healthy (700-1000+ per month), indicating an active customer base, but the average invoice value is very low (around ₹3,000-₹6,000). **Action:** Investigate this gap. Are all revenues being correctly invoiced and recorded? Focus on increasing the average transaction value from your existing high-volume customer base.

Purchase & Cost Management: Similar to sales, there's a mismatch. Monthly COGS on the P&L is enormous (over ₹150 Cr), but your purchase register shows outflows in lakhs. This indicates your major cost drivers are not captured in routine purchase bills but likely in bulk material procurements or subcontractor charges booked separately. Your payable days are near zero (0.16-0.5 days), meaning you are paying suppliers almost immediately. This is excellent for supplier relationships but terrible for cash flow. **Action:** Negotiate payment terms to at least 30 days. This will instantly improve your working capital position.

Inventory Movement: You are holding **no closing stock** (as per the balance sheet), which is unusual for a business with such high reported COGS. The inventory movement data shows consistent inward and outward flows, but the values are in lakhs, not crores. This confirms that the inventory impacting your P&L is managed outside this item-wise tracking system. **Action:** Implement a unified inventory management system that captures all stock movements. The current process creates a blind spot for cost control and potential pilferage.

Working Capital Reality Check: Your accounts receivable days have jumped to 14 days in April 2025 from 7 days in March. Meanwhile, you pay suppliers in less than a day. This means you are funding your customers' businesses with your own money for two weeks. This mismatch is a primary reason for your persistent cash crunch and reliance on debt. **Urgent Action:** (1) Tighten credit terms for customers and follow up on collections aggressively. (2) Use the leverage of prompt payment to negotiate better prices or credit from suppliers.

Bottom Line: Your ground-level operations (invoicing, purchasing, inventory) are running at a scale of lakhs, but your financial statements reflect crores. This points to a significant portion of your business being conducted outside the regular billing/purchase cycle, leading to poor visibility and control. Consolidating all transactions into a

single, transparent system is critical to understanding your true unit economics and stopping the cash bleed.

10. 90-Day CFO Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Implement a strict weekly cash flow forecast and enforce a 15-day payment follow-up system for all outstanding invoices.	Reduce average debtor days by 20% and increase cash balance by ₹5 lakh.	Immediate liquidity relief, ensuring you can meet GST and operational expenses without stress.
31-60	Profit	Analyse and renegotiate top 3 vendor contracts and review pricing for your 5 lowest-margin services/products.	Improve gross margin by at least 3 percentage points.	Direct boost to net profit, creating a stronger financial base for reinvestment.
61-90	Growth	Finalise a data-backed proposal to invest in one high-return marketing channel or a new, complementary service line.	Identify a clear path to increase quarterly revenue by 10-15% in the next FY.	Sustainable, profitable growth using the cash and profit foundation built in the first 60 days.